Mocks 8 and 9: Wrong-Answer Notes

CFA Level II · Mock 8: 8 wrong + 7 right-but-not-sure · Mock 9: 10 wrong + 3 right-but-not-sure · one question per page

Mock 8

36 / 44
Mock 8 score (81.8%)

29 / 36
New vignettes (80.6%)

7 / 8
Re-done vignettes (87.5%)

Score by topic

Topic	Score
Economics	2/4
Financial Statement Analysis	2/4
Derivatives	3/4
Fixed Income	3/4
Corporate Issuers	3/4
Ethical and Professional Standards	3/4
Quantitative Methods	4/4
Equity Valuation	8/8
Portfolio Management	4/4
Alternative Investments	4/4

Questions at a glance

Q	Topic	You	Ans	
Q1	Bond futures arbitrage: compound the bond cost to expiry, then compare with CF × futures price + accrued interest	C	B	wrong
Q6	Break-even inflation: nominal yield minus real yield of the SAME maturity	A	C	wrong
Q8	Credit bonds in a recession turning to recovery: low-quality spreads narrow most; expected loss = PD × (1 − recovery)	C	B	wrong
Q10	Credit spread from the tree: VND, CVA with LGD = 1 − recovery, fair value, YTM, spread	A	B	wrong
Q11	What narrows a credit spread: less expected loss (lower PD or lower LGD)	C	C	right, not sure
Q15	ARCH test: regress squared residuals on lagged squared residuals	C	C	right, not sure
Q20	H-model versus spreadsheet model	B	B	right, not sure
Q25	Model choice: intangible assets and only occasional dividends point to FCFF	B	B	right, not sure
Q30	Pension discount rate: higher than peers is aggressive	B	C	wrong
Q31	Losses on asset sales every time: depreciation understated, so BOTH earnings quality and reporting quality are low	A	A	right, not sure
Q32	Adjusting the pension discount rate down: obligation up, equity down	C	B	wrong
Q34	ESG scoring: apply the rules item by item	C	A	wrong
Q39	Standard VI(C) Referral Fees: disclose, monitor the agents, notify clients at least quarterly	C	A	wrong

Q43	Merger arbitrage gain in a stock-for-stock deal: convert the long shares, close the short	B	B	right, not sure
Q44	Main risk of merger arbitrage: the deal fails	B	B	right, not sure

Patterns

- **Carry every price to expiry first:** in a bond futures arbitrage the bond cost is compounded to the contract date before comparing (Q1); expected loss uses (1 − recovery) (Q8); recovery of one-quarter means a loss given default of 75% (Q10).
- **Direction and sign:** a higher pension discount rate is aggressive (Q30) and, when adjusted, lowers book value per share (Q32); inflation uncertainty raises break-even inflation (Q6).
- **Reading the rules:** score every listed ESG feature separately (Q34); in “least likely” Ethics questions three options are good actions (Q39).
- **Right answers you were not sure of** (Q11, 15, 20, 25, 31, 43, 44): the one-line logic is kept on each page.

Mock 9

34 / 44	30 / 40	4 / 4
Mock 9 score (77.3%)	New vignettes (75.0%)	Ethics vignettes (100.0%)

Score by topic

Topic	Score
Financial Statement Analysis	1/4
Portfolio Management	2/4
Fixed Income	3/4
Corporate Issuers	3/4
Quantitative Methods	3/4
Alternative Investments	3/4
Equity Valuation	7/8
Economics	4/4
Ethical and Professional Standards	4/4
Derivatives	4/4

Questions at a glance

Q	Topic	You	Ans	
Q6	Term structure theories: future spot = today's forward rate is the pure expectations theory	B	C	wrong
Q8	Flight to quality and bullish flattening: extend duration and use a barbell	A	A	right, not sure
Q9	Sale-leaseback motives: less debt means a better rating and a lower cost of capital	B	A	wrong
Q12	Spin-off versus carve-out versus divestiture	A	A	right, not sure
Q15	Valuation metric: high leverage and an off-balance-sheet brand point to EV/sales	A	B	wrong
Q25	Basel III: more equity against risk-weighted assets, stable consumer funding	C	A	wrong
Q26	Insurance underwriting cycle: a hard market attracts competitors and softens	C	A	wrong
Q28	Combined ratio above 100% means an underwriting loss	B	C	wrong
Q34	SEE: standard deviation of the residuals of the DEPENDENT variable	C	A	wrong
Q36	One coefficient: t-test; whole regression: F-test	B	B	right, not sure
Q40	REIT risk by property subsector: storage = new competing facilities	B	A	wrong
Q41	VaR advantages: useful for performance evaluation, not a worst case and not objective	B	C	wrong
Q43	Parametric VaR limitation: the normal distribution	A	B	wrong

Patterns

- **Read the word that decides the option:** “incorrect statement” questions (Q9), the reversed relationship in Basel III (Q25), and the one swapped word in the SEE point (Q34).
- **Match the label to the case:** storage REIT risk is new competing facilities, not office obsolescence (Q40); the parametric method's limit is the normal assumption (Q43); pure expectations means no premium (Q6).
- **Do not stop at one ratio:** the combined ratio adds the loss ratio and the expense ratio (Q28); VaR is neither a worst case nor free of subjectivity (Q41).
- **Leverage and intangibles:** a much higher debt-to-equity ratio points to an enterprise value multiple; an advertising-built brand is not in book value (Q15); a hard insurance market draws competitors (Q26).

- **Right answers you were not sure of** (Q8, 12, 36): the logic is kept on each page.

Mock 8 Q1 Bond futures arbitrage: compound the bond cost to expiry, then compare with CF × futures price + accrued interest

You **C** · Answer **B**

VIGNETTE (RELEVANT PART, UNEDITED)

Troubadour identifies an arbitrage opportunity relating to a fixed-income futures contract and its underlying bond. Current data on the futures contract and underlying bond are presented in Exhibit 1. The current annual compounded risk-free rate is 0.30%.

Exhibit 1

Current Data for Futures and Underlying Bond

Futures contract	
Quoted futures price	125.00
Conversion factor	0.90
Time remaining to contract expiration	Three months
Accrued interest over life of futures contract	0.00
Underlying bond	
Quoted bond price	112.00
Accrued interest since last coupon payment	0.08
Accrued interest at futures contract expiration	0.20

Question 1. Based on Exhibit 1 and assuming annual compounding, the arbitrage profit on the bond futures contract is closest to:

OPTIONS

A	0.4158.		0.4158 = (112.58 − 112.164) ÷ 1.003^0.25: it adds the accrued interest NOW (0.08) on the futures side instead of the accrued interest at expiry (0.20).
B	0.5356.	✓ Correct	Correct: 0.5356.
C	0.6195.	✗ Your pick	Your pick: 0.6195 = (112.70 − 112.08) ÷ 1.003^0.25. It leaves the bond price (112.00 + 0.08 accrued) UNcompounded: the cost of carrying the bond to expiry was forgotten.

Trigger “relating to a fixed-income futures contract and its underlying bond”
“The current annual compounded risk-free rate is 0.30%.”
“Accrued interest at futures contract expiration”

Rule next time: No-arbitrage price = (bond price + accrued interest now) × (1 + r)^T. Futures side = CF × quoted futures price + accrued interest at expiry. Profit = the difference, discounted back to today.

FORMULA / RULE

F0 = FV[B0 + AI0 − PVCI] = (1 + r)^T × (B0 + AI0)
Futures-implied price = CF × Q0 + AI at expiry
Arbitrage profit (today) = (futures-implied − no-arbitrage) ÷ (1 + r)^T

WHY THE ANSWER IS B

1. No-arbitrage futures price = 1.003^0.25 × 112.08 = 112.1640.
2. Futures-implied price = 0.90 × 125 + 0.20 = 112.70; futures overpriced by 112.70 − 112.1640 = 0.5360.
3. Present value: 0.5360 ÷ 1.003^0.25 = 0.5356: **B**.

Apply to other questions: Every price on the bond side must be carried FORWARD to expiry first; only the final difference is discounted.

Mock 8 Q6 Break-even inflation: nominal yield minus real yield of the SAME maturity

You **A** · Answer **C**

VIGNETTE (RELEVANT PART, UNEDITED)

At the investment committee meeting, Simmons recommends purchasing United Kingdom inflation-linked government bonds. In her discussion, she makes the following statements about inflation-linked bonds:

Statement 1: “Increases in uncertainty about future inflation are associated with lower break-even inflation rates.”

Statement 2: “The break-even inflation rate incorporates the yield difference between longer dated and shorter dated inflation-linked bonds.”

Statement 3: “The difference between nominal and inflation-linked bond yields reflects the expectations of and uncertainty about the quantity of goods and services investors will be able to consume in the future.”

Question 6. Which of Simmons’ statements concerning inflation-linked bonds is most likely correct?

OPTIONS

A	Statement 1	✗ Your pick	Your pick: Statement 1 is reversed: more uncertainty about inflation raises the break-even rate.
B	Statement 2		Statement 2 describes a term spread between two inflation-linked bonds, not the break-even rate (nominal minus inflation-linked of the same maturity).
C	Statement 3	✓ Correct	Correct: the yield gap reflects inflation expectations and the uncertainty about the goods and services investors can consume.

Trigger “reflects the expectations of and uncertainty about the quantity of goods and services”
“Increases in uncertainty about future inflation are associated with lower break-even inflation rates.”

Rule next time: Higher inflation uncertainty = higher break-even inflation (inflation risk premium). Break-even = nominal yield − real yield, same maturity.

FORMULA / RULE

> Break-even inflation rate = yield on nominal bond − yield on inflation-linked bond (same maturity)
> BEI = expected inflation + inflation risk premium

WHY THE ANSWER IS C

1. Statement 1: uncertainty ↑ → risk premium ↑ → BEI ↑ (so “lower” is wrong).
2. Statement 2: the BEI compares nominal and linked bonds of the same maturity, not long versus short linked bonds.
3. Statement 3 is correct: **C**.

Apply to other questions: Read the direction word in each statement (higher or lower) before accepting it.

Mock 8 Q8 Credit bonds in a recession turning to recovery: low-quality spreads narrow most; expected loss = PD × (1 − recovery)

You **C** · Answer **B**

VIGNETTE (RELEVANT PART, UNEDITED)

Lloyd Redfield, a portfolio manager on the foreign bond team, asks Simmons to review the current business cycle and yield curve in Australia. The Australian economy entered a recession approximately 6 months ago, and the Australian Central Bank has been reducing its policy rate. Simmons expects the Australian economy to gradually improve over the next 6–12 months.

Given the ongoing recession in Australia, Redfield is reviewing Australian corporate bonds with the same five-year maturity held in the foreign bond strategy. The three bonds being reviewed are listed in Exhibit 2. Redfield agrees with Simmons' assessment of the Australian economy.

Exhibit 2 Australia Corporate Bond Holdings

Bond	Credit Rating	Sector	Probability of Default	Estimated Recovery Rate	Spread over Government Bonds
A	A	Consumer Staples	0.5%	40%	200 bps
B	BBB–	Consumer Discretionary	2.0%	35%	350 bps
C	BB	Industrial	3.5%	45%	650 bps

Based on this information, Redfield makes the following comments to Simmons regarding the Australian bonds:

Comment 1: Relative to bond B and bond C, bond A has likely experienced the worst price return over the last 9 months.

Comment 2: Based on your economic forecasts, in 6–12 months overall credit spreads should narrow and the rate of improvement will likely be greatest for bond C.

Comment 3: You can calculate the expected loss by multiplying the probability of default by the recovery rate.

Question 8. Which of Redfield's comments regarding the Australian corporate bonds in Exhibit 2 is most likely correct?

OPTIONS

A	Comment 1		Comment 1 is reversed: in a downturn the good credit (bond A) outperforms; spreads between low and high quality widen.
B	Comment 2	✓ Correct	Correct: as the economy improves spreads narrow, and bond C (lowest rating, widest spread) improves most.
C	Comment 3	✗ Your pick	Your pick: Comment 3 multiplies PD by the recovery rate. Expected loss uses LOSS given default (1 − recovery): bond B = 2% × 65% = 1.3%.

Trigger "Simmons expects the Australian economy to gradually improve over the next 6–12 months"
"overall credit spreads should narrow"
"multiplying the probability of default by the recovery rate"

Rule next time: Spreads narrowing: the weakest credits (widest spread, highest PD) improve the most. Expected loss = PD × LGD = PD × (1 − RR), never PD × RR.

FORMULA / RULE

> Expected loss = probability of default × loss given default; LGD = 1 − recovery rate
> Recession: spreads widen, more for low quality. Recovery: spreads narrow, more for low quality

WHY THE ANSWER IS B

1. Comment 1: wrong, A is the highest quality and does best in a recession.
2. Comment 2: right, weaker credits gain most when spreads narrow.
3. Comment 3: wrong formula (needs 1 − RR). Answer **B**.

Apply to other questions: "Recovery rate" in a formula usually appears as (1 − recovery rate). Check which one the formula needs.

Mock 8 Q10 Credit spread from the tree: VND, CVA with LGD = 1 − recovery, fair value, YTM, spread

You **A** · Answer **B**

VIGNETTE (RELEVANT PART, UNEDITED)

Marangoni next asks Brandt to analyze a three-year bond, issued by Norvalle S.A., using an arbitrage-free framework. The bond's coupon rate is 4%, with interest paid annually and a par value of 100. In the analysis, Brandt makes the following three assumptions:

The annual interest rate volatility is 15%.

The recovery rate is one-quarter of the exposure each period.

The annual probability of default each year is 1.50%.

Selected information on benchmark government bonds for the Norvalle bond is presented in Exhibit 2, and the relevant binomial interest rate tree is presented in Exhibit 3.

Exhibit 2

Par Curve Rates for Annual Payment Benchmark Government Bonds

Maturity	Coupon rate	Price	Discount factor	Spot rate	Forward rate
1	2.50%	100	0.975610	2.5000%	2.5000%
2	3.30%	100	0.936888	3.3133%	4.1331%
3	4.00%	100	0.887981	4.0396%	5.5076%

Exhibit 3

One-Year Binomial Interest Rate Tree for 15% Volatility (risk-neutral probability of 50% on each branch)

Date	0	1 (top)	1 (bottom)	2 (top)	2 (middle)	2 (bottom)
Rate	2.5000%	4.7526%	3.5208%	7.2932%	5.4029%	4.0026%

Brandt estimates the value of the Norvalle bond assuming no default (VND) as well as the fair value of the bond. Brandt then estimates the bond's yield to maturity and the bond's credit spread over the benchmark in Exhibit 2. Brandt asks Marangoni, "What might cause the bond's credit spread to decrease?"

Question 10. Based on Brandt's assumptions and Exhibits 2 and 3, the credit spread on the Norvalle bond is closest to:

OPTIONS

A	0.7796%.	✗ Your pick	Your pick: 0.7796% results from LGD = 50% instead of 75% (recovery is one-quarter, not one-half).
B	1.1782%.	✓ Correct	Correct: 1.1782%.
C	1.5828%.		1.5828% assumes no recovery (LGD = 100%).

Trigger “The recovery rate is one-quarter of the exposure each period.”
“The annual probability of default each year is 1.50%.”
“the relevant binomial interest rate tree is presented in Exhibit 3”

Rule next time: Recovery of one-quarter means LGD = 75% of the exposure. Then CVA = Σ DF × PD × LGD × exposure; fair value = VND − CVA; the spread = YTM at fair value − benchmark yield.

FORMULA / RULE

Cumulative PD_t = 1 − (1 − PD)^t; marginal PD_t = (1 − PD)^(t−1) × PD (survival to t−1 and default in t)
CVA = Σ DF_t × marginal PD_t × LGD_t × expected exposure_t; fair value = VND − CVA
Spread = YTM(fair value) − benchmark YTM

WHY THE ANSWER IS B

1. VND from the tree = 100.0000 (coupon 4%, discount at each tree rate).
2. Expected exposures 102.5000, 102.5665, 104.0000; LGD = 0.75 × exposure; CVA = 1.1250 + 1.0648 + 1.0080 = 3.1978.
3. Fair value 96.8022 → YTM 5.1782%; spread = 5.1782% − 4.0000% = 1.1782%: **B**.

Apply to other questions: Translate the recovery sentence into LGD before doing anything else. Recovery 25% → LGD 75%.

Mock 8 Q11 What narrows a credit spread: less expected loss (lower PD or lower LGD)

You **C** · Answer **C**

VIGNETTE (RELEVANT PART, UNEDITED)

Brandt estimates the value of the Norvalle bond assuming no default (VND) as well as the fair value of the bond. Brandt then estimates the bond's yield to maturity and the bond's credit spread over the benchmark in Exhibit 2. Brandt asks Marangoni, "What might cause the bond's credit spread to decrease?"

Question 11. The most appropriate response to Brandt's question relating to the credit spread is:

OPTIONS

A	an increase in the loss given default.		A higher LGD raises the CVA and widens the spread.
B	an increase in the probability of default.		A higher probability of default raises the CVA and widens the spread.
C	a decrease in the risk-neutral probability of default.	✓ Correct	Correct: a lower risk-neutral probability of default lowers the CVA, raises the fair value and lowers the spread.

Trigger “What might cause the bond's credit spread to decrease?”

Rule next time: Spread falls when the CVA falls: lower probability of default or lower loss given default.

FORMULA / RULE

> Fair value = VND − CVA; larger CVA → lower fair value → higher YTM → wider spread

WHY THE ANSWER IS C

1. Spread ↓ needs fair value ↑ (towards VND).
2. That needs CVA ↓: lower PD or lower LGD.
3. Lower risk-neutral PD: **C**.

Apply to other questions: Right in this mock; keep the logic: CVA up = spread up.

Mock 8 Q15 ARCH test: regress squared residuals on lagged squared residuals

You **C** · Answer **C**

VIGNETTE (RELEVANT PART, UNEDITED)

Next, Silva estimates an AR(1) model for public construction spending, where ΔlnPUBLt = lnPUBLt – lnPUBLt–1). She calculates the residuals (ε) and squared residuals (ε2) of the AR(1) model and estimates the following two linear regressions:

Residual Regression 1: $\varepsilon t2 = a0 + a1\ \varepsilon t{-}12 + ut$

Residual Regression 2: $\varepsilon t = a0 + a1\ \varepsilon t{-}1 + ut$

The t-statistic for the slope coefficients (a1) is 0.70 for Residual Regression 2 and 2.94 for Residual Regression 1. The relevant critical value for these tests is 1.97.

Question 15. Do the estimates of the residual regression parameters indicate that the AR(1) model on ΔlnPUBLt) is misspecified?

OPTIONS

A	Yes, because there is evidence of significant serial correlation		Regression 2 (serial correlation) has t = 0.70 < 1.97, so no serial correlation.
B	No		No: the model is misspecified because of ARCH.
C	Yes, because there is evidence of autoregressive conditional heteroskedasticity (ARCH)	✓ Correct	Correct: Regression 1 uses squared residuals and its t = 2.94 > 1.97, so there is ARCH and the AR(1) model is misspecified.

Trigger “The t-statistic for the slope coefficients (a1) is 0.70 for Residual Regression 2 and 2.94 for Residual Regression 1.”
“The relevant critical value for these tests is 1.97.”

Rule next time: Residuals on their own lag test serial correlation; SQUARED residuals on their own lag test ARCH. A t-statistic above the critical value means the problem is present.

FORMULA / RULE

> Serial correlation: ε_t on ε_{t-1}; ARCH: ε_t^2 on ε_{t-1}^2
> Reject H0 (a1 = 0) when |t| > critical value

WHY THE ANSWER IS C

1. Residual Regression 2 (levels): 0.70 < 1.97, no serial correlation.
2. Residual Regression 1 (squares): 2.94 > 1.97, ARCH present.
3. Misspecified because of ARCH: **C**.

Apply to other questions: Right in this mock; keep the split: levels = serial correlation, squares = ARCH.

Mock 8 Q20 H-model versus spreadsheet model

You **B** · Answer **B**

VIGNETTE (RELEVANT PART, UNEDITED)

Jackson has been researching how to value shares using a dividend growth model if the transition from one growth rate to a lower one is gradual. In that scenario, he understands he would use the H-model to evaluate the shares. If, however, the difference in growth rates is large, or the length of the high growth rate is extraordinarily long, then he would have to use a spreadsheet model instead.

Question 20. Jackson's understanding of when he would switch from an H-model to a spreadsheet model is best described as:

OPTIONS

A	incorrect with respect to the difference in growth rates.		Incorrect: his view of the growth-rate difference is right.
B	correct.	✓ Correct	Correct: both conditions he names are right.
C	incorrect with respect to the length of the first growth period.		Incorrect: his view of the length of the high-growth period is right.

Trigger "if the transition from one growth rate to a lower one is gradual"
"the difference in growth rates is large, or the length of the high growth rate is extraordinarily long"

Rule next time: H-model: linear decline from a high to a lower growth rate. A very large growth difference or a very long high-growth period needs a spreadsheet model.

FORMULA / RULE

> H-model: $V0 = D0(1 + gL)/(r - gL) + D0 \times H \times (gS - gL)/(r - gL)$, H = half the length of the transition

WHY THE ANSWER IS B

1. The H-model approximates a linear transition.
2. It becomes inaccurate for large growth gaps or very long extraordinary growth.
3. Jackson is correct: **B**.

Apply to other questions: Right in this mock; keep the two limits: big growth difference, long high-growth period.

Mock 8 Q25 Model choice: intangible assets and only occasional dividends point to FCFF

You **B** · Answer **B**

VIGNETTE (RELEVANT PART, UNEDITED)

Company A is an employment services firm with no debt and has fixed assets consisting primarily of computers, servers, and commercially available software. Many of the assets are intangible, including human capital. The company has a history of occasionally paying a special cash dividend.

Question 25. Based on Company A's characteristics, which of the following absolute valuation models is most appropriate for valuing that company?

OPTIONS

A	Asset based		Asset-based works for companies with mostly tangible, marketable assets.
B	Free cash flow to the firm	✓ Correct	Correct: FCFF.
C	Dividend discount		Dividend discount needs a consistent, predictable dividend; special dividends are occasional.

Trigger "no debt"
"Many of the assets are intangible"
"occasionally paying a special cash dividend"

Rule next time: Intangible assets rule out an asset-based model; irregular special dividends rule out the dividend model; use free cash flow (FCFF/FCFE).

FORMULA / RULE

Asset-based: tangible, marketable assets
DDM: consistent dividend policy
FCFF/FCFE: no regular dividends or assets mostly intangible

WHY THE ANSWER IS B

1. Assets are intangible → no asset-based.
2. Dividends only occasional → no DDM.
3. FCFF: **B**.

Apply to other questions: Right in this mock; keep the clue words: intangible, occasional special dividend.

Mock 8 Q30 Pension discount rate: higher than peers is aggressive

You **B** · Answer **C**

VIGNETTE (RELEVANT PART, UNEDITED)

Thorsell next examines Coleridge's underfunded defined benefit pension plan and observes that the plan's discount rate assumption is 0.5% higher than its industry competitors' discount rates. For comparison purposes, Thorsell adjusts Coleridge's financial statements before computing the company's financial ratios.

Question 30. Compared with its industry competitors, Coleridge's pension discount rate assumption is most likely:

OPTIONS

A	neutral, because the plan is underfunded in any case.		The size of the deficit depends on the assumption, so “neutral” is wrong.
B	conservative, because it raises the reported pension expense.	✗ Your pick	Your pick: a higher discount rate LOWERS, not raises, the obligation and expense, so it is not conservative.
C	aggressive, because it lowers the reported pension obligation.	✓ Correct	Correct: aggressive, because it lowers the reported obligation.

Trigger “the plan's discount rate assumption is 0.5% higher than its industry competitors' discount rates”

Rule next time: A higher discount rate lowers the present value of the pension obligation (and the pension expense). Higher than peers = aggressive.

FORMULA / RULE

> Higher discount rate → lower PBO and lower pension cost (aggressive)
> Lower discount rate → higher PBO and higher cost (conservative)

WHY THE ANSWER IS C

1. Discounting future benefits at a higher rate shrinks the present value.
2. Smaller obligation and expense flatter the company.
3. Aggressive: **C**.

Apply to other questions: Link: discount rate and PV move in opposite directions.

Mock 8 Q31 Losses on asset sales every time: depreciation understated, so BOTH earnings quality and reporting quality are low

You **A** · Answer **A**

VIGNETTE (RELEVANT PART, UNEDITED)

> Next, Thorsell notes that, consistent with past years, Coleridge has generated only accounting losses when it sells any one of its long-term assets. The losses are presented on the income statement after operating income, and when they occur they are significant in amount.

Question 31. With respect to the sale of its long-term assets, Coleridge most likely displays:

OPTIONS

A	both low earnings quality and low financial reporting quality.	✓ Correct	Correct: both are low.
B	low earnings quality only.		Earnings quality is low, but so is the financial reporting quality: B is incomplete.
C	low financial reporting quality only.		Reporting quality is low, but so is earnings quality: C is incomplete.

Trigger "has generated only accounting losses when it sells any one of its long-term assets"

Rule next time: Systematic losses on disposals mean depreciation was too low in earlier years: income was overstated (low earnings quality) and the numbers did not faithfully represent the economics (low reporting quality).

FORMULA / RULE

> Low reporting quality: not faithful or biased accounting choices
> Low earnings quality: earnings not sustainable or overstated

WHY THE ANSWER IS A

1. Only losses on every sale: depreciation lives too long or expense too low.
2. Operating income overstated each year → low earnings quality.
3. Biased estimate → low reporting quality too: **A**.

Apply to other questions: Right in this mock; keep the pattern: consistent losses on disposal = understated depreciation.

Mock 8 Q32 Adjusting the pension discount rate down: obligation up, equity down

You **C** · Answer **B**

VIGNETTE (RELEVANT PART, UNEDITED)

Thorsell next examines Coleridge's underfunded defined benefit pension plan and observes that the plan's discount rate assumption is 0.5% higher than its industry competitors' discount rates. For comparison purposes, Thorsell adjusts Coleridge's financial statements before computing the company's financial ratios.

Question 32. With respect to the defined benefit pension plan assumption, which of the following will decrease after Thorsell's adjustment?

OPTIONS

A	Financial leverage ratio		Financial leverage (assets ÷ equity) increases.
B	Book value per share	✓ Correct	Correct: book value per share decreases (equity down, shares unchanged).
C	Debt-to-equity ratio	✗ Your pick	Your pick: debt-to-equity increases (debt up, equity down); it does not decrease.

Trigger "Thorsell adjusts Coleridge's financial statements before computing the company's financial ratios" "0.5% higher than its industry competitors'"

Rule next time: Her adjustment lowers the discount rate to the peer level: the obligation rises, equity falls through AOCI, debt rises. Ratios with equity in the denominator rise; per-share equity falls.

FORMULA / RULE

> Lower discount rate → higher PBO → bigger deficit → lower equity, higher debt
>
> Equity ↓: BVPS ↓, D/E ↑, leverage ↑

WHY THE ANSWER IS B

1. Peers use a lower discount rate, so the adjustment lowers Coleridge's rate by 0.5%.
2. Obligation ↑, equity ↓, shares unchanged.
3. BVPS decreases: **B**.

Apply to other questions: Sketch the direction of debt and equity first, then each ratio.

Mock 8 Q34 ESG scoring: apply the rules item by item

You **C** · Answer **A**

VIGNETTE (RELEVANT PART, UNEDITED)

Exhibit 1

	ChemiKa	PlastiKa
Ownership	Concentrated	Dispersed
Voting power	Concentrated	Dispersed
Total number of directors	19	8
Number of independent directors	12	4
Two-tiered board	No	Yes
CEO duality	Yes	No
Average board tenure	8 years	14 years
Independent committees:		
Audit	Yes	No
Compensation	Yes	Yes
Director selection	No	Yes

To evaluate the corporate governance policies and procedures of the two companies, Tyler considers the rankings provided by an independent ESG data analysis firm specializing in board and governance structure. The contributions of each board member are only considered after at least one year of service.

The ESG data analysis firm uses a scoring system awarding one point for favorable characteristics among the following:

CEO duality is absent.

Average board tenure is below ten years.

For board independence, a two-tiered board is considered favorable. A simple majority of independent directors is generally favorable. However, in a one-tiered board which is considered unfavorable, a 60% majority of independent directors is the favorable threshold.

Independent committees for audit, compensation and director selection are present (1 point for the presence of each independent committee).

Question 34. Based on the ESG data analysis firm's scoring system and Exhibit 1, compared to PlastiKa, ChemiKa most likely ranks:

OPTIONS

A	the same.	✓ Correct	Correct: both score the same.
B	lower.		Lower would need ChemiKa to score less than PlastiKa; both reach 4 points.
C	higher.	✗ Your pick	Your pick: higher would need ChemiKa to score more than PlastiKa; both reach 4 points.

Trigger “The ESG data analysis firm uses a scoring system awarding one point for favorable characteristics”
“in a one-tiered board which is considered unfavorable, a 60% majority of independent directors is the favorable threshold”

Rule next time: Score each listed feature separately: board independence (two-tiered board, or 60% independents in a one-tiered board), no CEO duality, tenure under 10 years, and each independent committee. Ownership and voting power are not scored.

FORMULA / RULE

> Board independence: two-tiered board = favorable; one-tiered board needs 60% independents
> 1 point each: no CEO duality, tenure under 10 years, audit, compensation, director selection committees

WHY THE ANSWER IS A

1. ChemiKa: one-tiered board with 12 ÷ 19 = 63.2% independents (≥ 60%) = 1; CEO duality 0; tenure 8 years 1; audit 1, compensation 1, selection 0: total 4.
2. PlastiKa: two-tiered board 1; no CEO duality 1; tenure 14 years 0; audit 0, compensation 1, selection 1: total 4.
3. Same ranking: **A**.

Apply to other questions: Build a two-column score table before choosing; do not stop at the first favorable feature.

Mock 8 Q39 Standard VI(C) Referral Fees: disclose, monitor the agents, notify clients at least quarterly

You **C** · Answer **A**

VIGNETTE (RELEVANT PART, UNEDITED)

> Second, let me explain how we select investments. I'll give you the prospectus, too, for your further reference, because it contains all the details, and they're quite extensive. We identify potential investments from around the globe through our own analysts' research within the education and health care industries. We also use third-party agents to find potential investments. If we make an investment in the companies they present to us, we pay them a finder's fee. One such agent we use is Make-a-Difference Consultants, an asset consulting firm that has adopted the CFA Institute Code and Standards.

Question 39. Given O'Connor's second statement to Jensen, which further action should O'Connor least likely take to comply with required or recommended procedures for the CFA Institute Standards of Professional Conduct?

OPTIONS

A	Notify clients of the finder's fee policy on a semiannual basis.	✓ Correct	Correct (the action least likely to be taken): notify clients SEMIANNUALLY is too infrequent; at least quarterly is recommended.
B	Monitor the consultants' compliance policy execution.		Monitoring the consultants is expected (Standard I(A): do not assist others in a violation).
C	Disclose the finder's fee arrangement in the fund prospectus.	✗ Your pick	Your pick: disclosing the finder's fee arrangement in the prospectus is exactly what the Standard requires.

Trigger "If we make an investment in the companies they present to us, we pay them a finder's fee."
"least likely"

Rule next time: "Least likely" means pick the action that is NOT required or recommended. Recommended procedures for referral fees: disclose them to clients and prospects, and notify clients on a regular basis (at least quarterly).

FORMULA / RULE

> Standard VI(C): disclose to the employer, clients and prospective clients any compensation or benefit paid for referrals, before the service is provided
> Recommended: notify clients at least quarterly of the finder's fee policy

WHY THE ANSWER IS A

1. The question asks for the LEAST likely compliant step.
2. Disclosure in the prospectus and monitoring the agents are both required or recommended.
3. Semiannual notification is weaker than the recommended quarterly: **A**.

Apply to other questions: Flip the logic in "least likely" questions: three options are good actions, one is not.

Mock 8 Q43 Merger arbitrage gain in a stock-for-stock deal: convert the long shares, close the short

You **B** · Answer **B**

VIGNETTE (RELEVANT PART, UNEDITED)

First, Pasco reviews Fund 2, an event-driven hedge fund. The fund has a merger arbitrage trade involving a potential merger between two companies, Acquirer Company (AC) and Target Company (TC). AC has offered to buy TC in a stock-for-stock deal. The offer ratio is one share of AC for three shares of TC. AC was trading at $39 per share prior to the merger announcement, and its price decreased to $35 per share after the announcement. TC was trading at $10 per share prior to the merger announcement, and its price increased to $11 per share after the announcement. After the merger announcement, the hedge fund bought 30,000 shares of TC at $11 per share and sold 10,000 shares of AC at $35 per share.

Question 43. If the merger between AC and TC closes successfully, Fund 2's merger arbitrage trade will result in a gain closest to:

OPTIONS

A	$7,000.		$7,000 is a one-sided payoff ($35 ÷ 3 − $11) × 10,000, which ignores that the conversion covers the short.
B	$20,000.	✓ Correct	Correct: 10,000 × $35 − 30,000 × $11 = $20,000.
C	$90,000.		$90,000 uses pre-announcement prices, not the trade prices.

Trigger “The offer ratio is one share of AC for three shares of TC”
“bought 30,000 shares of TC at $11 per share and sold 10,000 shares of AC at $35 per share”

Rule next time: 30,000 TC shares become 30,000 ÷ 3 = 10,000 AC shares, exactly the short position. Gain = short proceeds − cost of the long shares.

FORMULA / RULE

Merger arbitrage (stock deal): long target, short acquirer in the exchange ratio
Gain if the deal closes = short proceeds − cost of the target shares

WHY THE ANSWER IS B

1. Long 30,000 TC at $11 = $330,000 paid.
2. Convert into 10,000 AC shares and deliver them against the short sold at $35 = $350,000.
3. Gain $20,000: **B**.

Apply to other questions: Right in this mock; keep the conversion step: shares of target ÷ exchange ratio.

Mock 8 Q44 Main risk of merger arbitrage: the deal fails

You **B** · Answer **B**

VIGNETTE (RELEVANT PART, UNEDITED)

First, Pasco reviews Fund 2, an event-driven hedge fund. The fund has a merger arbitrage trade involving a potential merger between two companies, Acquirer Company (AC) and Target Company (TC). AC has offered to buy TC in a stock-for-stock deal. The offer ratio is one share of AC for three shares of TC. AC was trading at $39 per share prior to the merger announcement, and its price decreased to $35 per share after the announcement. TC was trading at $10 per share prior to the merger announcement, and its price increased to $11 per share after the announcement. After the merger announcement, the hedge fund bought 30,000 shares of TC at $11 per share and sold 10,000 shares of AC at $35 per share.

Question 44. The main risk of Fund 2's merger arbitrage trade is that:

OPTIONS

A	the AC share price rises after the merger closes, which hurts the short AC position.		After closing, the converted shares offset the short, so a higher AC price does not hurt a closed trade.
B	the merger is cancelled and the TC shares fall back toward their pre-announcement price.	✓ Correct	Correct: deal cancelled, TC falls back and the short hedge no longer offsets.
C	the TC shares are converted into AC shares at the announced ratio, which locks in a loss.		Conversion at the announced ratio is the expected path to a gain.

Trigger “merger arbitrage trade”
“stock-for-stock deal”

Rule next time: The trade is long target, short acquirer. It earns the spread if the deal closes, so the main risk is that the deal is cancelled.

FORMULA / RULE

> Merger arbitrage return = spread captured; risk = deal break

WHY THE ANSWER IS B

1. Closing: shares convert and cover the short: gain.
2. Break: TC drops back to pre-deal price: loss.
3. **B**.

Apply to other questions: Right in this mock; keep: event-driven risk = event does not happen.

Mock 9 Q6 Term structure theories: future spot = today's forward rate is the pure expectations theory

You **B** · Answer **C**

VIGNETTE (RELEVANT PART, UNEDITED)

Fischer's fund currently has a large position in two option-free and default-risk-free zero-coupon bonds. The first bond has a 1-year maturity and the other bond has a 10-year maturity. Fischer's view is that the spot curve one year from today will reflect the current forward curve. Interest rate information for option-free and default-risk-free zero-coupon bonds is contained in Exhibit 1.

Question 6. Fischer's view that the spot curve one year from today will reflect the current forward curve is most consistent with:

OPTIONS

A	the segmented markets theory.		Segmented markets: each maturity has its own supply and demand; forward rates are not forecasts.
B	the liquidity preference theory.	✗ Your pick	Your pick: liquidity preference says forward rates contain a liquidity premium, so the future spot curve would be BELOW today's forward curve. Fischer says it will equal the forward curve.
C	the pure expectations theory.	✓ Correct	Correct: pure expectations.

Trigger "Fischer's view is that the spot curve one year from today will reflect the current forward curve"

Rule next time: Forward rates are unbiased predictions of future spot rates, with no extra premium = pure expectations. Liquidity preference adds a premium, so forwards overstate expected future spot rates.

FORMULA / RULE

Pure expectations: forward rate = expected future spot rate
Liquidity preference: forward rate = expected future spot rate + liquidity premium (premium rises with maturity)
Segmented markets / preferred habitat: supply and demand by maturity

WHY THE ANSWER IS C

1. Fischer expects the future spot curve to equal today's forward curve.
2. That means no premium in the forward rates.
3. Pure expectations: **C**.

Apply to other questions: Ask: is there a premium in the forward rate? None = pure expectations; premium for maturity = liquidity preference.

Mock 9 Q8 Flight to quality and bullish flattening: extend duration and use a barbell

You **A** · Answer **A**

VIGNETTE (RELEVANT PART, UNEDITED)

Later in the day, Fischer meets with another analyst to discuss the current fixed-income environment. This second analyst believes fixed-income markets are about to enter a period of high uncertainty. This analyst also expects a flight to quality and a bullish flattening of the yield curve. He recommends Fischer adjust the fund's exposure through the purchase and sale of option-free default-risk-free bonds.

Question 8. The strategy best suited to exploit the second analyst's expected changes to the current fixed-income environment is to:

OPTIONS

A	extend duration and construct a barbell portfolio.	✓ Correct	Correct: extend duration and build a barbell.
B	keep duration constant and construct a barbell portfolio.		Constant duration ignores that yields are expected to fall; the barbell part is right.
C	extend duration and construct a bullet portfolio.		Extending duration is right, but a bullet suits a parallel shift or a steepening, not a flattening.

Trigger “expects a flight to quality and a bullish flattening of the yield curve”

Rule next time: Flight to quality pushes government yields down: extend duration. Bullish flattening means long yields fall more than short yields: favor the barbell (long and short ends) over the bullet.

FORMULA / RULE

> Bullish = yields fall → extend duration
> Flattening → barbell outperforms bullet; steepening → bullet outperforms barbell

WHY THE ANSWER IS A

1. Flight to quality: demand for safe government bonds, yields fall.
2. Bullish flattening: the long end rallies more than the short end.
3. Extend duration with a barbell: **A**.

Apply to other questions: Right in this mock; keep the pair: bullish = extend duration, flattening = barbell.

Mock 9 Q9 Sale-leaseback motives: less debt means a better rating and a lower cost of capital

You **B** · Answer **A**

VIGNETTE (RELEVANT PART, UNEDITED)

The first company is Mercury Corp., a publicly traded, national retail grocery store chain that has 3,100 physical stores. Mercury leases most of its grocery stores and all five of its office locations that help the company achieve its core business of operating 50,000 square foot stores in all markets of the United States. Mercury also owns the real estate (land and building) associated with 120 physical store locations. Mercury recently announced that its board of directors approved a strategic real estate plan to pursue a separation of all its owned assets. The company currently has a speculative-grade credit rating.

The separation would be achieved through a series of sale-leaseback transactions with real estate investment trusts (REITs) that specialize in owning retail properties. Under the plan, Mercury will sell its 120 owned grocery stores and lease them for 20-year terms with a combined annual rent expense of USD54 million. Mercury expects to receive cash proceeds of approximately USD1,000 million from the property sales, which will be used to retire approximately USD700 million of debt and repurchase 5 million common shares.

Mercury believes the pro forma capital structure following the transactions will enable it to receive an investment-grade credit rating. The sale-leaseback transactions value the 120 assets at an average capitalization rate of 5.40%. Based on Marsh's colleague's research, the 25th, 50th, and 75th percentile cap rates for sale transactions for similarly situated properties and similar lease terms in the last three years were 4.90%, 5.40%, and 5.90%, respectively.

Question 9. Which of the following statements about Mercury's motivations for the strategic real estate plan is incorrect?

OPTIONS

A	The expected change in Mercury's credit rating after the transactions will increase the firm's costs of capital.	✓ Correct	Correct (the incorrect statement): a better credit rating lowers, not raises, the cost of capital.
B	The transactions will allow Mercury to unlock the value of its real estate assets.	✗ Your pick	Your pick: unlocking real estate value is a true motive: the sale gives cash while Mercury keeps using the stores through leases.
C	The transactions will enable Mercury to sell a non-core business.		Selling real estate that is not core to a grocer is also a true motive.

Trigger "retire approximately USD700 million of debt"
"enable it to receive an investment-grade credit rating"

Rule next time: In an "incorrect statement" question, test each option. Retiring debt and gaining an investment-grade rating lowers the cost of capital, so the statement that it increases it is the incorrect one.

FORMULA / RULE

> Sale-leaseback: sell the property, lease it back, receive cash, record a lease liability
> Better credit rating → lower cost of debt and capital

WHY THE ANSWER IS A

1. Plan: sell the owned stores, lease them back, use the cash to retire debt and buy back shares.
2. Lower debt → investment-grade rating → cheaper capital.
3. So "increase the cost of capital" is false: **A**.

Apply to other questions: Read the question word first: "incorrect" means three options are true statements.

Mock 9 Q12 Spin-off versus carve-out versus divestiture

You **A** · Answer **A**

VIGNETTE (RELEVANT PART, UNEDITED)

The second company is Neptune Corp., a publicly traded US energy company. Marsh has been asked to assess the valuation of a potential spin off for this company. Neptune operates and reports three segments: Upstream, Midstream, and Downstream. In the last 12 months, the company reported the financial results shown in Exhibit 1.

Neptune is currently trading at an enterprise value of USD313,600 million, or an EV/EBITDA multiple of 16. A spin off of the Downstream segment has long been rumored because it has been under-invested in by the current management team, resulting in slower revenue growth than its peers. Marsh finds that the median Upstream, Midstream, and Downstream peers are trading at enterprise value-to-EBITDA multiples of 18, 15, and 12, respectively.

Question 12. A spin-off of the Downstream segment would most likely:

OPTIONS

A	distribute shares of the Downstream business to Neptune's existing shareholders.	✓ Correct	Correct: a spin-off distributes shares to existing shareholders.
B	sell the Downstream segment to another company for cash.		A sale to another company for cash is a divestiture.
C	sell shares of the Downstream business to new investors in a public offering, giving Neptune cash.		Selling shares to new investors in a public offering is an equity carve-out.

Trigger "A spin off of the Downstream segment has long been rumored"

Rule next time: Spin-off: shares of the subsidiary go to the parent's existing shareholders, no cash comes in. Carve-out: IPO of a minority stake, cash to the parent. Divestiture: sale of the segment for cash.

FORMULA / RULE

Spin-off: pro rata distribution, no cash
Equity carve-out: IPO of part of the subsidiary, cash to the parent
Divestiture: sale of assets or a segment for cash

WHY THE ANSWER IS A

1. Spin-off = existing shareholders receive the new shares.
2. No cash flows to the parent.
3. **A**.

Apply to other questions: Right in this mock; the three terms differ in who receives what: shareholders (spin-off), new investors (carve-out), a buyer (divestiture).

Mock 9 Q15 Valuation metric: high leverage and an off-balance-sheet brand point to EV/sales

You **A** · Answer **B**

VIGNETTE (RELEVANT PART, UNEDITED)

Ashworth next reviews Harlan, which operates in a previously mature industry that now has high growth potential due to a recent technological innovation. Harlan's debt-to-equity ratio is significantly higher than the average of its competitors. Harlan spent heavily on advertising to create and maintain its brand, which is an important asset. The company is favored by many investors because its dividend payout ratio is the highest in its industry. Ashworth considers several potential metrics to use in valuing Harlan.

Question 15. Which of the following is the most appropriate metric for Ashworth to use in valuing Harlan?

OPTIONS

A	Price to book ratio	✗ Your pick	Your pick: price to book is distorted because the brand, built through advertising, is not on the balance sheet.
B	Enterprise value to sales ratio	✓ Correct	Correct: EV/sales.
C	Dividend yield		Dividend yield ignores capital gains, which matter for a company with high growth potential.

Trigger “debt-to-equity ratio is significantly higher than the average of its competitors”
“spent heavily on advertising to create and maintain its brand”

Rule next time: Very different leverage across companies: use an enterprise value multiple (EV/sales), not an equity multiple. A brand built by advertising is an internally generated intangible and does not appear in book value, so price to book is a poor choice.

FORMULA / RULE

P/B: needs book value that reflects the real assets
EV/sales: works with different leverage and when earnings are unreliable
Dividend yield: only for stable, predictable dividends

WHY THE ANSWER IS B

1. Debt-to-equity much higher than peers → compare enterprise value, not equity value.
2. Internal brand → book value understated.
3. EV/sales: **B**.

Apply to other questions: Check each clue: leverage differs → EV; intangibles off the balance sheet → not P/B.

Mock 9 Q25 Basel III: more equity against risk-weighted assets, stable consumer funding

You **C** · Answer **A**

VIGNETTE (RELEVANT PART, UNEDITED)

At today's weekly meeting, Ishikawa and her analysts are conducting a preliminary review of some of their assigned insurance institutions. Mori arrives early, so Ishikawa takes the opportunity to ask him to explain his understanding of the Basel III framework. Mori describes three enhancements that Basel III incorporated as part of its transition from the previous iteration:

Enhancement 1: More stringent capital requirements that prevent banks from taking on excessive financial leverage.

Enhancement 2: Increased funding stability by giving preference to interbank deposits over those from consumers.

Enhancement 3: Additional measures to ensure sufficient earnings quality, thereby strengthening banks' regulatory capital.

Question 25. Which of the enhancements Mori describes regarding the Basel III regulatory framework is most accurate?

OPTIONS

A	Enhancement 1	✓ Correct	Correct: Enhancement 1.
B	Enhancement 2		Enhancement 2 is reversed: consumer deposits, not interbank deposits, are the stable funding.
C	Enhancement 3	✗ Your pick	Your pick: Basel III did not set earnings-quality measures, although higher capital may improve quality indirectly.

Trigger "More stringent capital requirements that prevent banks from taking on excessive financial leverage" "Basel III"

Rule next time: Basel III raised the equity capital required against risk-weighted assets (less leverage) and added liquidity and stable-funding requirements, where consumer deposits count as MORE stable than interbank funding. Earnings quality was not a focus.

FORMULA / RULE

> Basel III: higher capital ratios, leverage ratio, liquidity coverage ratio, net stable funding ratio
> Stable funding: consumer deposits > interbank deposits

WHY THE ANSWER IS A

1. Enhancement 1: capital requirements against leverage: true.
2. Enhancement 2: reversed deposit preference: false.
3. Enhancement 3: earnings quality: not part of Basel III: false. **A**.

Apply to other questions: For "which statement is accurate" questions, find the reversed relationship in the wrong options.

Mock 9 Q26 Insurance underwriting cycle: a hard market attracts competitors and softens

You **C** · Answer **A**

VIGNETTE (RELEVANT PART, UNEDITED)

The other analysts arrive, and the meeting gets underway. The group is scheduled to review an insurance company, Kitano Holdings (KH), a property and casualty insurer. Ishikawa notes that the property and casualty market has been in a “hard” phase for a few years now, and she wonders whether the results will show the beginning of a cyclical shift.

Question 26. If Ishikawa's interpretation of the current phase of the property and casualty market is correct, a cyclical shift is most likely to result in:

OPTIONS

A	additional competitors entering the market.	✓ Correct	Correct: additional competitors enter.
B	capital adequacy being easier to achieve.		Capital adequacy is HARDER to achieve as the market softens, not easier.
C	a tightening of underwriting standards.	✗ Your pick	Your pick: standards loosen, not tighten, as the market softens.

Trigger “phase for a few years now”

Rule next time: Hard market: high premiums, profits and underwriting standards. That attracts new competitors, premiums fall and standards weaken (soft market); capital depletes.

FORMULA / RULE

> Hard market → high premiums, tight standards, strong capital
> Soft market → low premiums, loose standards, capital depleted

WHY THE ANSWER IS A

1. Hard phase for years: profits are high.
2. High profits attract competitors; premiums fall.
3. Additional competitors: **A**.

Apply to other questions: Cycle logic: good times draw entrants, entrants weaken pricing.

Mock 9 Q28 Combined ratio above 100% means an underwriting loss

You **B** · Answer **C**

VIGNETTE (RELEVANT PART, UNEDITED)

The group reviews KH's profitability information that Mori has provided in Exhibit 1. Ishikawa asks Mori to calculate KH's combined ratio:

Exhibit 1 Excerpts from KH's Financial Statements

(¥ billions)

Loss expense and loss adjustment expense	41,208
Net premiums earned	58,420
Net premiums written	52,130
Underwriting expense	21,874

Question 28. KH's combined ratio indicates that its underwriting business, before investment income, is:

OPTIONS

A	break-even, because the combined ratio is measured on net premiums written.		The combined ratio is not defined on net premiums written alone.
B	profitable, because the loss ratio is below 100%.	✗ Your pick	Your pick: the loss ratio alone (70.5%) is below 100%, but the underwriting expense ratio (42.0%) must be added: 112.5%.
C	unprofitable, because claims and expenses exceed the premiums earned.	✓ Correct	Correct: unprofitable, because claims and expenses exceed the premiums earned.

Trigger "calculate KH's combined ratio"
"before investment income"

Rule next time: Combined ratio = loss ratio + expense ratio. Above 100% means claims plus expenses exceed premiums: unprofitable underwriting that investment income must cover.

FORMULA / RULE

> Combined ratio = loss & LAE ÷ net premiums earned + underwriting expense ÷ net premiums written
> > 100% = underwriting loss; < 100% = underwriting profit

WHY THE ANSWER IS C

1. 41,208 ÷ 58,420 = 70.5%; 21,874 ÷ 52,130 = 42.0%.
2. Combined = 112.5% > 100%.
3. Underwriting loss: **C**.

Apply to other questions: Never judge profitability on the loss ratio alone.

Mock 9 Q34 SEE: standard deviation of the residuals of the DEPENDENT variable

You **C** · Answer **A**

VIGNETTE (RELEVANT PART, UNEDITED)

Dunn gathers information regarding quarterly sales revenue and marketing expenditures for the past five years. Based upon historical data, Dunn derives the following regression equation for Green Valley Nurseries (stated in millions of dollars):

Expected Sales = 9.8 + 2.1 (Marketing Expenditures) + 0.9 (# of Salespeople)

Question 34. Dunn explains the standard error of estimate (SEE) to Larsen with three points. Point 1: If there is a strong relationship between the variables and the SEE is small, the individual estimation errors will also be small. Point 2: The SEE is the standard deviation of the differences between the estimated values for the independent variables and the actual observations for the independent variable. Point 3: Any violation of the basic assumptions of a multiple regression model is going to affect the SEE. How many of Dunn's points are most accurate?

OPTIONS

A	2 of Dunn's points are correct.	✓ Correct	Correct: Points 1 and 3 are right, Point 2 is wrong: two points.
B	1 of Dunn's points is correct.		Points 1 and 3 are both correct, so more than one is correct.
C	All 3 of Dunn's points are correct.	✗ Your pick	Your pick: Point 2 is wrong (independent instead of dependent variable), so not all three are correct.

Trigger "Point 2: The SEE is the standard deviation of the differences between the estimated values for the independent variables and the actual observations for the independent variable."

Rule next time: SEE measures the spread of the actual dependent variable around the regression line. Point 2 wrongly uses the independent variable.

FORMULA / RULE

SEE = $\sqrt{[\Sigma(Y - \hat{Y})^2 \div (n - k - 1)]}$

Small SEE = strong fit; violated assumptions affect the SEE

WHY THE ANSWER IS A

1. Point 1 true: strong relation, small SEE, small errors.
2. Point 2 false: the errors are on the dependent variable.
3. Point 3 true: violations of assumptions affect the SEE. Two correct: **A**.

Apply to other questions: Read each point word by word; one swapped word (independent for dependent) makes the point false.

Mock 9 Q36 One coefficient: t-test; whole regression: F-test

You **B** · Answer **B**

VIGNETTE (RELEVANT PART, UNEDITED)

For the past several years, these marketing plans seemed to be successful, providing a significant boost in sales to those specific products highlighted by the marketing efforts. However, for the past year, revenues have been flat, even though marketing expenditures increased slightly. Dunn is concerned that the expensive seasonal marketing campaigns are simply no longer generating the desired returns, and should either be significantly modified or eliminated altogether. He proposes that the company hire additional, permanent salespeople to focus on selling Green Valley Nurseries' high-margin products all year long. The chief operating officer, David Larsen, disagrees with Dunn. He believes that although last year's results were disappointing, the marketing campaign has demonstrated impressive results for the past five years, and should be continued. His belief is that the prior years' performance can be used as a gauge for future results, and that a simple increase in the sales force will not bring about the desired results.

Dunn gathers information regarding quarterly sales revenue and marketing expenditures for the past five years. Based upon historical data, Dunn derives the following regression equation for Green Valley Nurseries (stated in millions of dollars):

Expected Sales = 9.8 + 2.1 (Marketing Expenditures) + 0.9 (# of Salespeople)

Question 36. Dunn wants to test whether the marketing coefficient of 2.1 is still significantly different from zero after a year of flat revenues. He should compare:

OPTIONS

A	the R^2 of the regression with the SEE.		R^2 and the SEE describe fit; they do not test one coefficient.
B	the t-statistic (the coefficient divided by its standard error) with the critical t-value.	✓ Correct	Correct: t-test for the marketing coefficient.
C	the F-statistic of the whole regression with the critical F-value.		The F-test asks whether at least one slope is not zero.

Trigger “revenues have been flat”
“significantly different from zero”

Rule next time: A single slope coefficient is tested with a t-statistic (coefficient ÷ standard error) against the critical t. The F-test checks the regression as a whole.

FORMULA / RULE

t = (b − 0) ÷ standard error of b

F: all slopes = 0?

WHY THE ANSWER IS B

1. Question about ONE coefficient: t-test.
2. Compare t with the critical value.
3. **B**.

Apply to other questions: Right in this mock; keep: one coefficient = t, all together = F.

Mock 9 Q40 REIT risk by property subsector: storage = new competing facilities

You **B** · Answer **A**

VIGNETTE (RELEVANT PART, UNEDITED)

Exhibit 1

Select REIT Financial Information

	REIT A	REIT B
Property subsector	Office	Storage

Question 40. The risk factor most likely to adversely affect an investment in REIT B is:

OPTIONS

A	new competitive facilities.	✓ Correct	Correct: new competitive facilities (storage REIT).
B	obsolescence of existing space.	✗ Your pick	Your pick: obsolescence of existing space is the typical office REIT risk (REIT A is the office REIT here).
C	tenants' sales per square foot.		Tenants' sales per square foot is a retail (shopping center) REIT measure.

Trigger "Storage"

Rule next time: Match the risk to the subsector: office = obsolescence of space; retail = tenants' sales per square foot; storage (easy entry) = new competitive facilities.

FORMULA / RULE

Office: obsolescence, tenant concentration
Retail: tenants' sales per square foot
Storage: new competing facilities (low entry barriers)

WHY THE ANSWER IS A

1. REIT B's property subsector is Storage.
2. Easy entry → overbuilding risk.
3. **A**.

Apply to other questions: Look at WHICH REIT the question asks about, then at its subsector row.

Mock 9 Q41 VaR advantages: useful for performance evaluation, not a worst case and not objective

You **B** · Answer **C**

VIGNETTE (RELEVANT PART, UNEDITED)

Joanna Whitfield just joined Sterling as a risk analyst, and Almeida is familiarizing her with how the firm measures portfolio risk. In a conversation with Whitfield, Almeida asks her what she has learned regarding the advantages of using VaR as a risk management tool. Whitfield responds, “The advantages of VaR are that it (1) provides an estimate of downside exposure during a worst-case scenario, (2) avoids subjectivity, and (3) can be used for performance evaluation.”

Question 41. Whitfield's comments on the advantages of VaR are most likely correct regarding:

OPTIONS

A	downside exposure.		Downside exposure: VaR is not a worst case; losses can exceed it.
B	subjectivity.	✗ Your pick	Your pick: VaR does not avoid subjectivity; the inputs and method are subjective.
C	performance evaluation.	✓ Correct	Correct: performance evaluation.

Trigger “(2) avoids subjectivity, and (3) can be used for performance evaluation”
“(1) provides an estimate of downside exposure during a worst-case scenario”

Rule next time: VaR is the MINIMUM loss at a confidence level, relies on subjective inputs (confidence level, horizon, method), and supports risk-adjusted performance evaluation.

FORMULA / RULE

> VaR advantages: simple, communicable, usable for risk-adjusted performance and capital allocation
> VaR limits: subjective inputs, not a worst case, tail risk

WHY THE ANSWER IS C

1. Statement (1) wrong, (2) wrong, (3) right.
2. Only (3) is correct.
3. Performance evaluation: **C**.

Apply to other questions: “Worst case” and “no subjectivity” are red-flag phrases about VaR.

Mock 9 Q43 Parametric VaR limitation: the normal distribution

You **A** · Answer **B**

VIGNETTE (RELEVANT PART, UNEDITED)

Later that day, Whitfield receives an email from Almeida asking her to estimate the dollar VaR at the 5% level for the firm's developing market equity fund. Whitfield estimates VaR using the parametric method (assuming normal distribution) with the inputs in Exhibit 1.

Question 43. A limitation of the parametric method that Whitfield used to estimate VaR is that it:

OPTIONS

A	uses actual past returns, so it cannot capture new risks.	✗ Your pick	Your pick: using actual past returns describes historical simulation.
B	assumes returns are normally distributed, which fits poorly with fat tails and options.	✓ Correct	Correct: assumes returns are normal.
C	requires a large number of random scenarios to be generated.		Generating many random scenarios describes Monte Carlo simulation.

Trigger "parametric method (assuming normal distribution)"

Rule next time: Parametric VaR assumes normally distributed returns: weak for fat tails and options. Using past returns = historical simulation; random scenarios = Monte Carlo.

FORMULA / RULE

Parametric: normal assumption
Historical: actual past returns
Monte Carlo: random scenarios from a model

WHY THE ANSWER IS B

1. The vignette states the method used: parametric with a normal distribution.
2. Its limit is the normal assumption.
3. **B**.

Apply to other questions: Match the limitation to the method named in the question.